

## Entero Healthcare Solutions Ltd: Acquisition Meets Positive Cash Flows

### Investment Summary

Entero Healthcare stands at the forefront of India's healthcare distribution transformation, positioned to capture value from a highly fragmented market that is steadily consolidating in favor of organized players. The company has demonstrated its ability to scale rapidly through a balanced mix of organic growth and ~50 acquisitions, which together have expanded geographic reach, strengthened manufacturer partnerships, and deepened customer penetration. Beyond scale, the business model is evolving towards higher profitability, with private-label products, medical devices, and technology-driven efficiencies driving steady margin expansion. A critical inflection is the expected transition to positive free cash flow, reflecting improving working capital discipline and reducing reliance on external funding. This, combined with the operating leverage embedded in its fixed cost structure, should translate into sustained growth at both revenue and earnings levels. Backed by a management team with proven integration and execution capabilities, Entero offers investors a structural growth story with multiple rerating triggers—margin expansion, cash flow improvement, industry consolidation, and accelerating top- and bottom-line growth—that justify a premium to current valuations.

### Company Overview

Entero Healthcare Solutions Ltd., founded in 2018 and headquartered in Gurugram, Haryana, has quickly emerged as one of India's top three healthcare distributors by revenue, leveraging both scale and technology to consolidate a fragmented industry. The company operates as an integrated platform that connects manufacturers with pharmacies, hospitals, and clinics across the country, offering not only pharmaceutical distribution but also a broad portfolio that includes medical devices, diagnostics, surgical consumables, and trade generics. With a product base of nearly 74,700 SKUs sourced from thousands of manufacturers, Entero delivers comprehensive supply solutions to a wide network of retail and institutional customers. Its growth has been accelerated by ~50 acquisitions, seamlessly integrated into a centralized, tech-enabled supply chain that ensures efficiency, transparency, and nationwide reach.

### Valuation & Outlook

At the current market price of ₹1,180, Entero Healthcare is trading at an attractive 11.13x EV/EBITDA on FY28E estimates, which we believe undervalues its strong growth trajectory, improving margins, and consolidation-led scale advantages. Considering the company's leadership and specialty in organized healthcare distribution alongside structural shift towards higher-margin categories, we assign a fair multiple of 13.5x EV/EBITDA. Applying our multiple implies a **target price of ₹1,441**, offering an **upside potential of ~22.17%** from current levels. We believe the stock offers a compelling opportunity for investors looking to participate in India's healthcare supply chain consolidation story with improving profitability and long-term growth visibility.

#### Stock Data (28-08-2025)

|                     |                                                  |
|---------------------|--------------------------------------------------|
| CMP                 | ₹ 1180.00                                        |
| 52 Week High/Low    | ₹ 1584/1078                                      |
| Rating              | <b>BUY</b>                                       |
| Target Price        | <b>₹ 1441.00 (+22.17%)</b>                       |
| Face Value          | ₹ 10.00                                          |
| Market Cap (INR Cr) | ₹ 5091.00                                        |
| NSE BSE             | <a href="#">ENTERO</a><br><a href="#">544122</a> |
| Sector              | Pharmacy Distribution                            |

#### Shareholding Pattern (in %)

|           |          |
|-----------|----------|
|           | Mar 2025 |
| Promoters | 52.42    |
| FII       | 17.21    |
| DII       | 10.19    |
| Public    | 20.19    |

#### Price Performance (in %)

| (%)      | 1M    | 1W    | YTD    |
|----------|-------|-------|--------|
| Nifty 50 | 0.20  | 0.69  | 4.02   |
| Entero   | -8.96 | -0.97 | -17.67 |

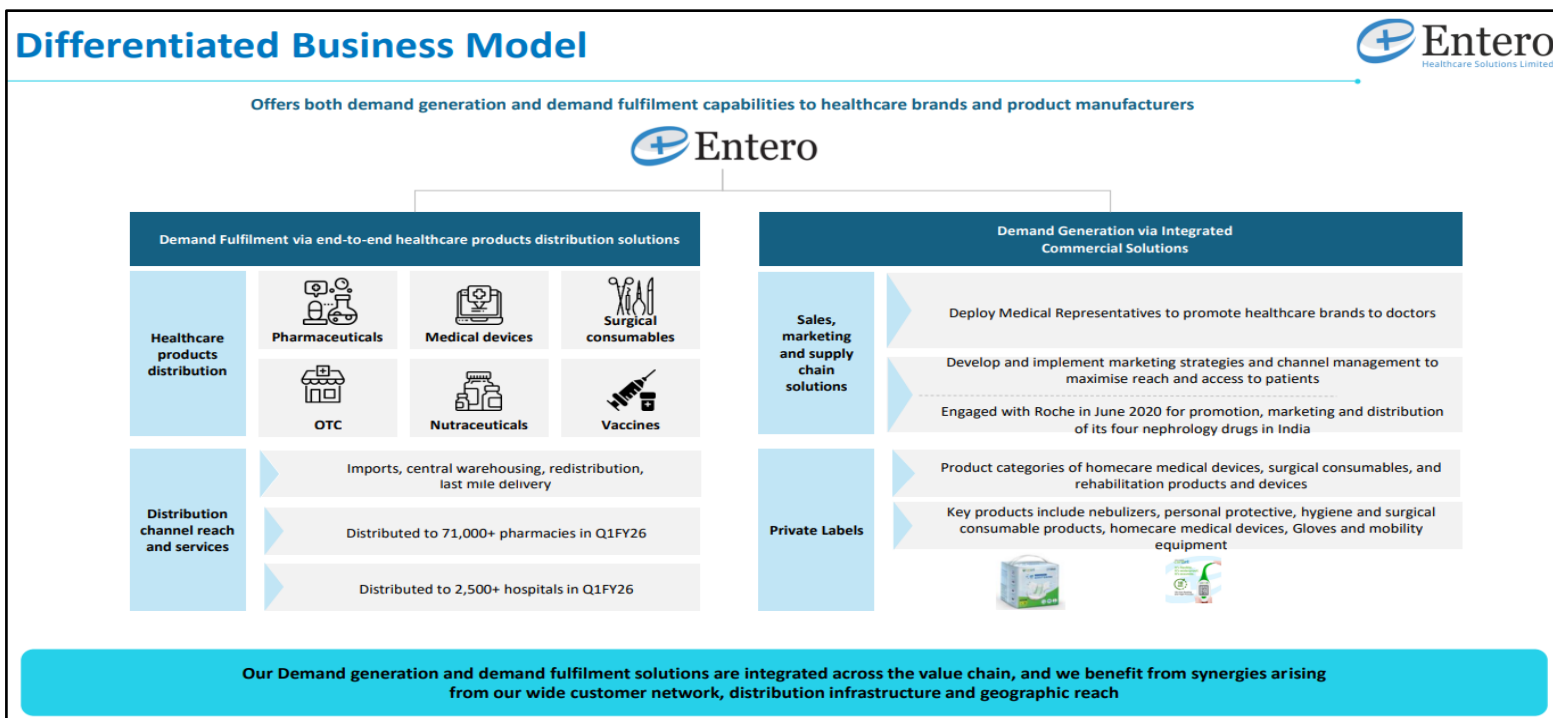
## Business Model

Entero Healthcare Solutions operates on a two-pronged business model that integrates demand fulfilment (distribution and logistics) with demand generation (commercial and marketing support for healthcare brands). At its core, the company follows a buy-and-sell distribution model: it purchases products directly from manufacturers and sells them to pharmacies, hospitals, and healthcare institutions. Unlike traditional distributors that function as small regional stockists, Entero has built a national, technology-driven supply chain platform with 102 warehouses across 45 cities and 469 districts, covering 19 states. This infrastructure allows it to handle over 74,700 SKUs sourced from 2,600+ manufacturers, including leading pharmaceutical and medical device companies. Its customer base spans more than 71,000 pharmacies and 2,500 hospitals, giving Entero a scale that few competitors can match.

Another leg of the business model is private-label products, marketed under the “Entero Surgicals” brand. This portfolio includes surgical consumables (gloves, syringes, dressings), homecare medical devices (BP monitors, nebulizers, thermometers), and rehabilitation products. While these products contribute a smaller share of revenue (2%) compared to core pharma distribution, they carry significantly higher gross margins (20–25%), compared to the ~8–10% margin typical in pharmaceutical distribution.

The company’s model also relies heavily on inorganic expansion. Since inception, Entero has completed or announced ~50 acquisitions, targeting small and mid-sized regional distributors across India. By integrating these players into its centralized platform, Entero expands geographic reach, strengthens relationships with local stockists and hospitals, and gains procurement advantages through consolidated volumes. Importantly, it has developed a playbook for acquisition and integration, ensuring that local distributors are brought into Entero’s ecosystem without disrupting customer relationships.

Entero’s business model is built around being more than just a distributor. It combines scale-driven distribution, digital visibility and analytics, value-added demand generation for manufacturers, private-label margin expansion, and aggressive M&A-led consolidation. This integrated approach allows Entero to stand out in a highly fragmented market dominated by thousands of small regional players, positioning it as one of the few companies capable of building a truly national, tech-enabled, and margin-accretive healthcare distribution platform in India.



Source: Company

## Management Overview

Entero Healthcare is led by a highly experienced management team combining deep domain expertise with global exposure. This leadership team blends pharma, consulting, and finance expertise, anchoring Entero's rapid growth and execution capabilities.

### Prabhat Agrawal – Promoter, Managing Director & CEO

Prabhat co-founded Entero and leads its strategic direction. He previously served as CEO at Alkem Laboratories, Group CFO at Metalfrio Solutions (Brazil), and Deputy Operations Director at Frigoglass Industries. He holds a B. Com from Mumbai University and a master's in management from ISB Hyderabad. A Chartered Accountant and CFA, he was awarded CEO of the Year – 2016 at the Pharma Leaders Awards. His global and domestic experience anchors Entero's rapid scale-up.

### Prem Sethi – Promoter, Whole-time Director & COO

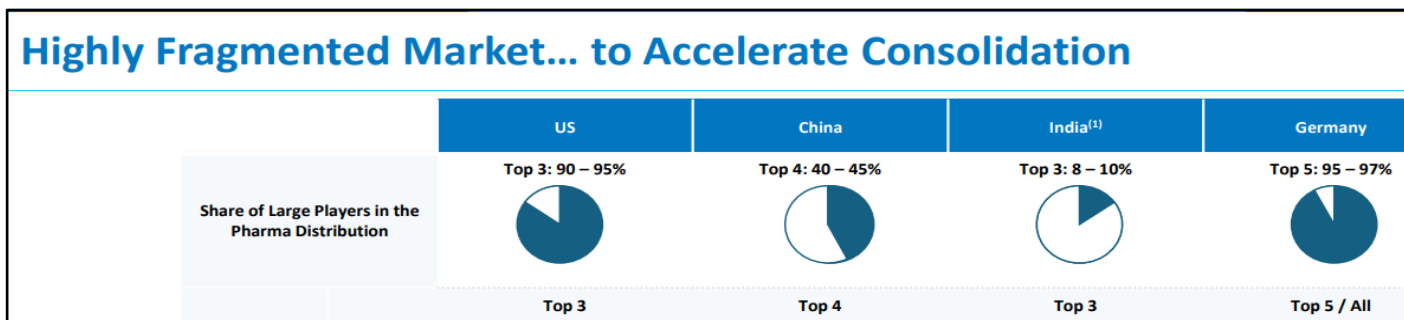
Prem oversees Entero's operations, network expansion, and product development. He brings consulting and healthcare analytics experience from IQVIA Consulting, Excellence Data Research, and Information Services India. He is a pharmacy graduate from Rajiv Gandhi University and holds a Master's Diploma in Clinical Research and Pharmacovigilance from James Lind Institute. In 2021, he won the Business Leader Award from Mint and Techcircle. His expertise lies in blending pharma knowledge with data-driven execution.

### Balakrishnan Natesan Kaushik – Group Chief Financial Officer

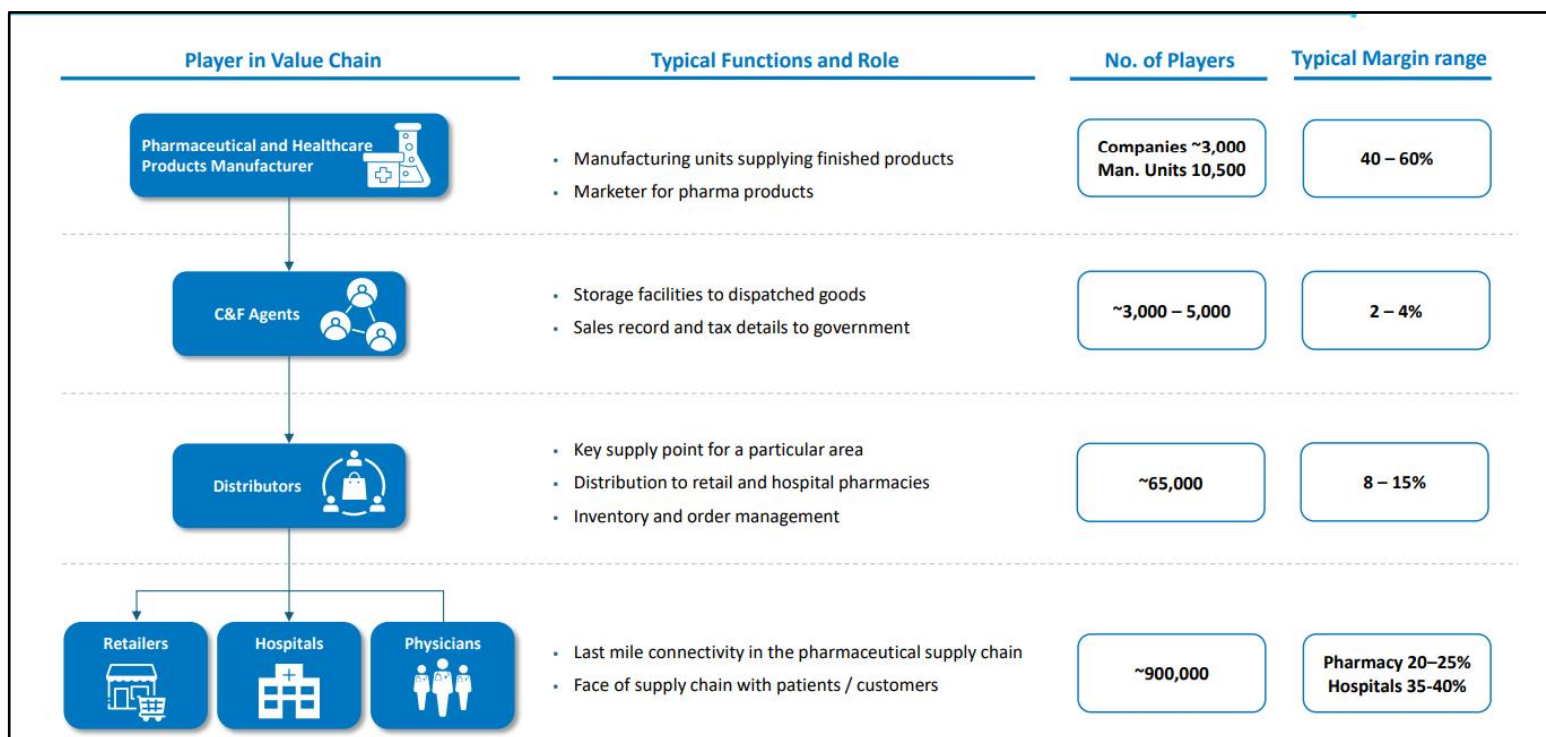
Kaushik heads finance, treasury, and investor relations at Entero. With 25+ year's experience, he has worked with Deloitte, Saint Gobain, Piramal Healthcare, Sandoz, IMS Health, Nestle Skin Health, and Quantum Advisors. His strengths include strategic planning, working capital, restructuring, and compliance across global markets. A founding member of Entero, he ensures strong financial discipline and governance. His cross-industry background supports Entero's long-term growth strategy.

## Indian Healthcare Market

The pharmaceutical supply chain in India is highly fragmented, with multiple layers of participants and varying margin structures. At the top are pharmaceutical and healthcare product manufacturers, comprising around 3,000 companies and 10,500 manufacturing units, who supply finished goods and act as marketers, typically earning margins of 40–60%. Products then move to carrying and forwarding (C&F) agents, of which there are an estimated 3,000–5,000 across the country, who provide storage, dispatch services, and compliance by maintaining sales and tax records; their margins are modest at 2–4%. The next layer consists of distributors, approximately 65,000 in number, who act as key supply points for specific geographies, managing inventory, fulfilling orders, and distributing to retail and hospital pharmacies, operating on gross margins in the range of 8–15%. Finally, products reach retailers, hospitals, and physicians, representing the last-mile connectivity to patients and customers. This segment is vast, with about 900,000 retail pharmacies and hospital outlets, earning significantly higher gross margins—20–25% at pharmacies and 35–40% at hospitals. This multi-tiered structure highlights both the fragmentation and inefficiencies in India's pharma supply chain, creating scope for integrated players like Entero to add value through consolidation and technology.



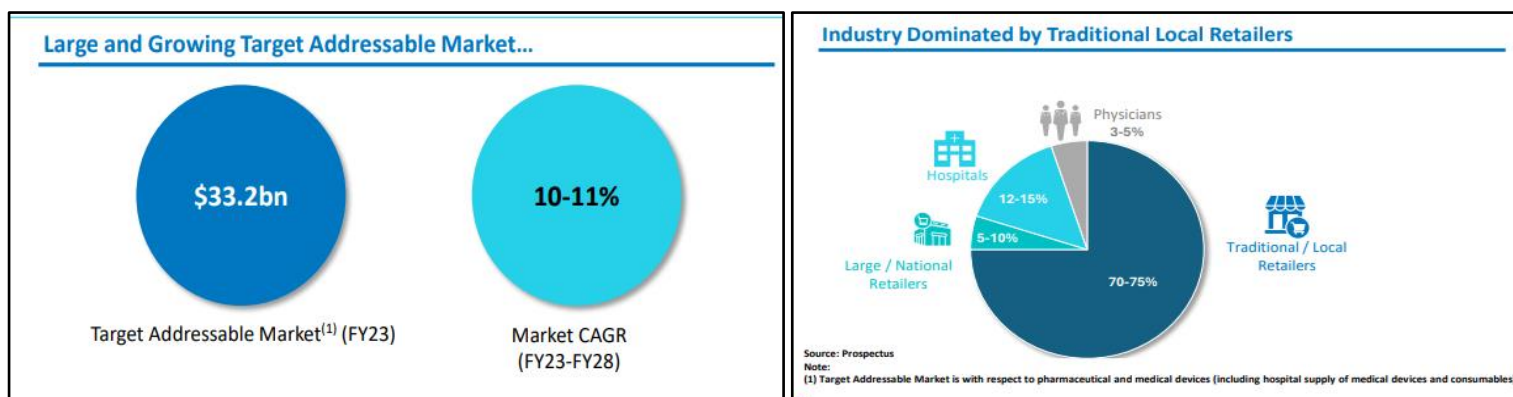
Source: Company



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India's healthcare products distribution market is a large and rapidly expanding opportunity, valued at \$33.2 billion in FY23 with a projected CAGR of 10–11% between FY23 and FY28. The industry is still dominated by fragmented players, with traditional local retailers controlling 70–75% of the market, while large or national distributors account for only 5–10%, hospitals 12–15%, and physicians 3–5%. However, this landscape is evolving quickly. The share of large/national distributors, which currently represents only 8–10% of total distribution sales, is expected to grow sharply to 20–30% by FY28, implying a 25–30% CAGR for organized players.

Several key trends are shaping this transition. First, consolidation in the distribution space is gaining momentum, driven by the need for efficiency, compliance, and wider coverage. Second, technology adoption is enabling better inventory control, order tracking, and transparency, helping modern distributors outperform traditional players. Third, there is a growing opportunity in micro-markets and regional data insights, which can guide manufacturers on targeted demand generation. In addition, higher demand for surgical and medical devices, coupled with government policies supporting generics, is creating structural tailwinds. Finally, the adoption of omnichannel models is enhancing reach and improving service levels for both manufacturers and end customers. Together, these factors indicate a strong runway for the growth of organized distributors like Entero, who are positioned to capture market share from unorganized local players.



Source: Company

## Investment Rationale

### 1. Benefiting from Market Consolidation in a Fragmented Industry

India's pharmaceutical and healthcare distribution sector is highly fragmented, with ~65,000 distributors and ~900,000 retailers, dominated largely by unorganized players. Entero stands to benefit significantly from ongoing consolidation in the market, as manufacturers and hospitals increasingly prefer organized, technology-driven partners. The company has already executed ~50 acquisitions, showcasing a proven ability to integrate regional distributors into its national network. This positions Entero to capture market share as large players' share of distribution sales rises from 8–10% in FY23 to 20–30% by FY28. Consolidation not only expands reach but also strengthens relationships with manufacturers by offering a single, pan-India partner.

### 2. Margin Expansion, Cash Flow Inflection, and Sustainable Profitability Ahead

Entero Healthcare offers a compelling case for margin-led rerating as it moves beyond the thin 8–10% gross margins of traditional pharma distribution which may translate into EBITDA margins of 5%+ in the next 2-3 years as compared to the current margins of 3.6%. Profitability is set to improve through a richer mix of private-label products, medical devices, and surgical consumables, coupled with technology-enabled supply chain efficiencies. The scaling of operations ensures that fixed manpower and warehousing costs will be absorbed more effectively, driving operating leverage. In parallel, management's focus on capital structure and tax efficiency, with an effective tax rate guided at 16–18%, enhances bottom-line growth visibility. Importantly, the business is approaching a structural inflection point with the transition to positive free cash flows, supported by improving working capital discipline as debtor days reduce from 66 to 60 days in FY26. This improvement in the cash conversion cycle will release funds tied up in receivables, strengthen operating cash flow generation, and reduce reliance on external borrowings. Together, these drivers position Entero for sustainable earnings growth and a long-term valuation rerating.

### 3. Strong and Diversified Business Model

Entero's business model is differentiated by its dual focus on demand fulfilment and demand generation. On one side, it operates a buy-and-sell model with a wide product basket spanning pharmaceuticals, OTC products, nutraceuticals, surgical consumables, and medical devices. On the other, it supports manufacturers through marketing, analytics, and secondary sales visibility, acting as more than just a logistics player. The company has also developed a private-label portfolio under Entero Surgicals, which carries significantly higher gross margins of 20–25% versus 8–10% in core distribution. This mix enables Entero to improve profitability while maintaining scale and relevance across multiple healthcare categories.

### 4. Proven Track Record of Inorganic and Organic Growth

Since inception, Entero has expanded rapidly through both organic expansion and acquisitions. The company has successfully integrated ~50 acquisitions across multiple states, adding geographic coverage, manufacturer tie-ups, and customer relationships. At the same time, its organic growth outpaces the Indian Pharmaceutical Market (IPM), with recent quarters showing ~15% organic growth versus ~9% IPM growth. This demonstrates Entero's ability to gain wallet share and expand penetration even without acquisitions. The dual engine of organic and inorganic growth ensures scalability and resilience, with consolidation providing step-ups and organic growth sustaining long-term momentum.

### 5. Technology-Enabled Supply Chain Platform

One of Entero's biggest differentiators is its proprietary technology platform, which offers end-to-end supply chain visibility and integrated business intelligence tools. The platform enables real-time tracking of orders, pricing, schemes, and inventory, improving transparency for both customers and manufacturers. For manufacturers, this means better secondary sales data and analytics for targeted promotions. For pharmacies and hospitals, it ensures reliable supply and efficiency in procurement.



## 6. Experienced Leadership and Professional Management

Entero's leadership team blends global and domestic experience in pharma, finance, and healthcare services. Prabhat Agrawal (MD & CEO), with leadership stints at Alkem, Metalfrio, and Frigoglass, brings cross-border operational and strategic expertise. Prem Sethi (COO) contributes strong consulting and data-driven pharma insights from his time at IQVIA and other healthcare analytics firms. Balakrishnan Kaushik (CFO) adds 25+ years of financial leadership across Deloitte, Saint Gobain, Piramal, and Sandoz. Backed by a healthcare-focused investor base, the management has demonstrated execution capabilities by scaling Entero to a top three distributor in just six years. Their combined expertise ensures disciplined growth, successful integration of acquisitions, and strong governance.

## Valuations

| Particulars                          | FY28E / Target |
|--------------------------------------|----------------|
| <b>FY28E EBITDA</b>                  | 506 Cr         |
| <b>Target EV/EBITDA multiple (x)</b> | 13.5x          |
| <b>Target EV</b>                     | 6,831 Cr       |
| <b>Debt (FY28E)</b>                  | 642 Cr         |
| <b>Cash (FY28E)</b>                  | 82 Cr          |
| <b>Target Market Cap</b>             | 6,271 Cr       |
| <b>Shares Outstanding (Cr)</b>       | 4.35 Cr        |
| <b>Final Target Price (₹)</b>        | ₹ 1,441        |
| <b>Upside Potential</b>              | 22.17%         |

## Key Risks

### 1. Retailer Dependency and Promotional Transparency

With ~900,000 retail pharmacies forming the last-mile link, retailer relationships are critical. Retailers face challenges like space/storage limitations, manual inventory management, and lack of transparency in promotional schemes. If Entero is unable to manage retailer expectations effectively—especially around timely supply and promotional benefits—it risks losing share to local distributors. This dependency on fragmented retail customers exposes Entero to credit risks, delayed payments, and inconsistent demand cycles.

### 2. Supply Chain and Infrastructure Challenges

Manufacturers and distributors in India often face weak storage infrastructure, manual inventory processes, and limited visibility of stock movements. This leads to inefficiencies, product expiries, and higher working capital needs. Entero's scale and tech-driven model partly address this, but operational risks remain given India's complex logistics network. Poor infrastructure, especially in semi-urban and rural areas, could undermine delivery timelines and increase wastage, impacting profitability.

### 3. High Fragmentation and Competition in Distribution

India's distribution market is highly fragmented, with ~65,000 distributors competing intensely. This environment often leads to price wars, extended credit periods to retailers, and margin pressure. Despite being one of the largest players, Entero cannot fully escape competitive dynamics, especially in regional markets where local distributors have entrenched relationships. Intense competition could limit Entero's ability to pass on costs, forcing it to absorb margin pressures. This risk is particularly high as organized players attempt rapid market share gains.

#### **4. Lack of Positive Operating Cash Flows and Rising Debt Burden**

Entero has yet to consistently generate positive operating cash flows, which raises concerns around the sustainability of its growth model. If operating cash flow does not materialize in line with revenue expansion, the company will struggle to self-fund its operations and capital needs. This could force Entero to rely on additional borrowings, thereby expanding the balance sheet and increasing leverage. A higher debt load would also raise interest costs, pressuring margins and profitability at a time when working capital intensity is already high. Over the medium term, a persistent absence of positive OCF and FCF would significantly constrain the company's ability to reinvest in growth and may weaken investor confidence in its financial discipline.

#### **5. Risks from Aggressive Inorganic Growth and Acquisition Integration**

Entero's rapid scale-up has been heavily driven by inorganic expansion, with ~50 acquisitions completed since inception. While this strategy has enabled market share gains, excessive reliance on acquisitions poses several risks, including the possibility of overpaying for assets, acquiring businesses with weak fundamentals, or facing delays and cost overruns in integration. Such outcomes could dilute margins and distract management bandwidth from driving organic growth. Furthermore, with much of the IPO proceeds already utilized for acquisitions, funding future deals may require higher leverage or equity dilution, creating additional financial pressure. If not executed with discipline, aggressive inorganic growth could erode shareholder value and undermine the long-term benefits of consolidation.

## Financial Statements

### Income Statement

| Particulars (₹ Cr)      | FY24       | FY25       | FY26E      | FY27E      | FY28E      |
|-------------------------|------------|------------|------------|------------|------------|
| Revenue from Operations | 3922       | 5095       | 6623       | 8275       | 10136      |
| YoY Growth %            | 18.85%     | 30%        | 30%        | 25%        | 22%        |
| Operating Expenses      | 3810       | 4924       | 6342       | 7886       | 9630       |
| <b>EBITDA</b>           | <b>112</b> | <b>172</b> | <b>281</b> | <b>389</b> | <b>506</b> |
| EBITDA %                | 2.85%      | 3.37%      | 4.25%      | 4.7%       | 5.0%       |
| YoY Growth %            | 75%        | 53.57%     | 63.37%     | 38.43%     | 30.07%     |
| Other Income            | 14         | 38         | 36         | 35         | 37         |
| Depreciation            | 25         | 31         | 37         | 42         | 50         |
| Interest                | 66         | 42         | 46         | 48         | 51         |
| Profit Before Tax (PBT) | 36         | 139        | 234        | 334        | 442        |
| Tax Rate %              | 12%        | 23%        | 17.5%      | 20%        | 23%        |
| Tax Provision           | -4         | 32         | 41         | 67         | 102        |
| <b>Profit After Tax</b> | <b>40</b>  | <b>107</b> | <b>193</b> | <b>267</b> | <b>340</b> |
| YoY Growth %            | 463%       | 168%       | 80%        | 38%        | 27%        |
| Earnings Per Share (Rs) | 9.2        | 24.6       | 44.4       | 61.4       | 78.2       |

### Balance Sheet

| Particulars (₹ Cr)         | FY24        | FY25        | FY26E       | FY27E       | FY28E       |
|----------------------------|-------------|-------------|-------------|-------------|-------------|
| Net Block                  | 289         | 559         | 795         | 1023        | 1250        |
| Sundry Debtors             | 615         | 830         | 961         | 1118        | 1189        |
| Inventories                | 421         | 660         | 708         | 845         | 907         |
| Cash & cash equivalents    | 893         | 260         | 108         | 90          | 82          |
| Loans and Advances         | 12          | 21          | 27          | 31          | 34          |
| Other current assets       | 115         | 373         | 392         | 485         | 589         |
| <b>Total assets</b>        | <b>2345</b> | <b>2703</b> | <b>2991</b> | <b>3592</b> | <b>4051</b> |
| Equity share capital       | 43          | 44          | 44          | 44          | 44          |
| Reserves                   | 1595        | 1681        | 1874        | 2141        | 2481        |
| <b>Shareholder's Funds</b> | <b>1638</b> | <b>1725</b> | <b>1918</b> | <b>2185</b> | <b>2525</b> |
| Borrowings                 | 338         | 385         | 462         | 601         | 642         |
| Trade Payables             | 230         | 397         | 424         | 564         | 613         |
| Other Liability items      | 139         | 196         | 187         | 242         | 271         |
| <b>Total Liabilities</b>   | <b>2345</b> | <b>2703</b> | <b>2991</b> | <b>3592</b> | <b>4051</b> |



**Cash Flow Statement**

| Particulars (₹ Cr)                              | FY24        | FY25       | FY26E      | FY27E      | FY28E      |
|-------------------------------------------------|-------------|------------|------------|------------|------------|
| Operating Profit before WC Changes              | 122         | 183        | 244        | 347        | 456        |
| Less: Changes in Working Capital                | -146        | -222       | -180       | -192       | -259       |
| Less: Direct Taxes paid                         | -13         | -38        | -41        | -69        | -103       |
| <b>Net Cash from Operating Activities</b>       | <b>-37</b>  | <b>-77</b> | <b>23</b>  | <b>86</b>  | <b>94</b>  |
| <b>Cash Flow from Investing Activities</b>      | <b>-704</b> | <b>232</b> | <b>118</b> | <b>70</b>  | <b>62</b>  |
| <b>Cash Flow from Financing Activities</b>      | <b>863</b>  | <b>-74</b> | <b>-42</b> | <b>-38</b> | <b>-22</b> |
| <b>Net Increase/Decrease) in Cash &amp; Eq.</b> | <b>122</b>  | <b>81</b>  | <b>99</b>  | <b>118</b> | <b>134</b> |

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Registration and Contact Details: Name of Research Analyst - Mangal Keshav Financial Services LLP, Research Analyst  
Registration No.: INH000018319.

LLPIN: AAM-3358

Registered Office: 501, Heritage Plaza, JP Road, Opp Indian Oil Colony, Andheri West, Mumbai 400053.

Correspondence/Administrative Office Address - 501, Heritage Plaza, JP Road, Opp Indian Oil Colony, Andheri West, Mumbai 400053.

TEL: 022 61907900